

# Conference Call Notes: Yen and Treasuries market turmoil

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Conference Call Note

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Yen and Treasuries market turmoil and the global geoeconomic outlook

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US and Japanese efforts to strengthen the yen have produced only short-lived appreciation, amid limited US financial commitment, conflicting US objectives, and measures that fail to address trade and financial flows.

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Treasury Secretary Scott Bessent's norm-breaking measures have not prevented 10-year yields from rising more than 30 basis points since late July; the tools that would work—especially fiscal consolidation—are politically blocked, and his shift in messaging suggests he is leaning toward backing down rather than escalating.

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Eurasia Group has cut the odds of its steady-growth basecase to 45% from 55% and raised the probability of both the sub-trend and stronger-growth scenarios; the US-Iran standoff will likely run through year-end (60%), keeping energy prices high into the winter, while the midterms are unlikely to be a significant driver of market outcomes.

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Speakers:

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Neil Weller, Director, Fixed Income Strategy, Eurasia Group

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Pietro Guglielmi, Senior Analyst, Geoeconomics, Eurasia Group

Yen: Political intervention without a lasting effect

Weller described a marked increase in political activity around the yen over the past two months: Treasury Secretary Scott Bessent and Japanese officials talking up a stronger yen, unilateral Japanese intervention, and a small amount of joint US intervention. None of this has had a lasting effect; each episode drove short-term appreciation that then reversed. Weller gave three reasons: the US commitments involve no significant financial contribution; the Treasury wants a stronger yen to keep US

yields lower but also more Asian investment into the US, conflicting objectives; and the measures do nothing to change underlying trade flows, in particular higher energy import costs, a key factor behind recent yen weakness.

Financial flows offer more scope for a lasting impact, but slowly: government encouragement could shift bank portfolios toward Japanese government bonds, but accounting rules on realized losses slow reallocation by life insurers, and the governance of the Government Pension Investment Fund (GPIF), which holds around \$1 trillion in foreign assets, leaves far less room for political influence than under former Prime Minister Abe Shinzo.

Bessent's norm-breaking measures have not stopped the rise in US yields

Guglielmi said that Bessent's attempt to cap yields was unlikely to succeed while it relied on signaling rather than forceful structural measures (see: US lacks political space to follow through on commitment to low rates , 18 August 2026). With little scope to act through Congress, the Treasury has reached for norm-breaking tools, from the late-July yen intervention and a request to enlarge the Federal Reserve's (Fed) Foreign and International Monetary Authorities (FIMA) facility to a shift toward shorter maturities and expanded buybacks. None of these prevented the 10-year yield from rising more than 30 basis points since late July, as rates rose globally on unsustainable fiscal positions, competition for capital from AI investment, higher inflation expectations from the Iran war, and central bank hiking cycles.

Guglielmi's view is that half-measures made things worse at the margin: breaking with predictable debt management invited the market to test the Treasury's credibility, a test it has not passed. The buybacks illustrate the pattern: doubled on 19 August to at least \$4 billion per operation and raised last week to \$6 billion, they still disappointed, long yields kept rising, and the Treasury bought only about \$5.2 billion.

Out of good options: What is left in the toolkit

Guglielmi sorted the toolkit into three groups (see: Overview of US Treasury's toolkit to try to lower yields , 8 September 2026). The measures already in use will keep having a limited impact: even cutting the average maturity of US debt from six years to around four would save at most 0.2 percentage points off the average interest rate. Politically feasible escalation options, such as financial repression, pressure on the Fed, and coercion of foreign holders, would be ineffective and could push yields higher. The measures that would work are blocked: each 1% of GDP of deficit reduction could lower long-term rates by 15-30 basis points, so a deficit of 3% of GDP could lower yields by 50-100 basis points, but Congress has no appetite for consolidation and large-scale Fed support is very unlikely absent a financial stability risk or recession.

Bessent's political capital remains high, but he has tied his credibility to market outcomes he does not fully control, and his message has already shifted from saying on 20 August that rates did not reflect fundamentals to conceding 10 days later that the Treasury cannot change the market's equilibrium price, a signal he is leaning toward backing down.

Growth outlook: Benign basecase, fatter tails on both sides

Weller framed the rise in yields as structural: in a G-Zero world, governments spending on defense, decoupling, and resilience compete for capital with demographic pressures and the AI investment race, a global problem beyond the Treasury's toolkit (see Top Calls: Iran standoff keeps oil costly amid rising

trade policy volatility , 8 September 2026).

Eurasia Group's basecase remains steady, trend-like growth, but the team has cut its probability to 45% from 55%. Higher energy prices from the Iran war and from refining damage in the Russia-Ukraine war are most likely manageable, with government and AI investment offsetting slower consumption through 2027. The sub-trend scenario rose to 30% from 25%: the primary risk is a nonlinear shock from conflict, with refining disruptions, product spreads, and the premium for prompt oil pointing to strains in physical markets. The stronger-growth scenario also rose: evidence that AI is lifting labor productivity is becoming slightly stronger, the team does not yet see a significant risk of mass layoffs, and any easing of transit risk through the two key straits would lower energy prices from early to mid-2027, as the fiscal boost from the One Big Beautiful Bill Act (OBBBA) fades.

Iran war: Standoff through year-end, energy pressure into winter

The US-Iran standoff will likely remain in place through the end of the year (60%), Guglielmi said, with Iran's demands unchanged since June: US acknowledgment of joint Iranian-Omani control of the Strait of Hormuz and a return to the June memorandum of understanding (see: Standoff now likely to run through 2026 as Hormuz traffic increases , 31 August 2026).

Oil prices have risen because Saudi Arabia's East-West pipeline is confirmed offline, taking out the roughly 4 million barrels per day exported in August via Yanbu, with an unclear repair timeline. Hormuz flows, however, remain high at about 10 million barrels per day. Gas is of particular interest to European and East Asian importers: Asian LNG prices are up more than 100% over the past year, Japan's LNG import bill is up 65% in dollars and almost doubled in yen, and large LNG tankers remain largely unable to transit the strait. Meaningful relief would require a durable de-escalation deal, unlikely this year, so energy will keep capping importers' growth into the winter: markets now price three to four 25-basis-point hikes for the European Central Bank and the Bank of Japan (BOJ) over the next year, and the team estimates the hit to European and Northeast Asian importers at close to 1% of annual GDP.

Midterms: House likely to flip, Senate a coin flip, limited market impact

The house view gives Democrats an 85% chance of taking the House, while Republicans are at 55% to retain the Senate, a low-conviction call that increasingly looks like a coin flip (see: Republicans maintain razor-thin lead in Senate race , 8 September 2026). If Democrats take both chambers (45%), President Donald Trump's nominations would largely be blocked and Democrats would likely use the debt ceiling to postpone the OBBBA's welfare cuts, so modest fiscal slippage is possible. The midterms are unlikely to be a significant driver of market outcomes: even with unified control, Republicans are unlikely to pass another big fiscal package, despite Trump's promise of \$5,000 checks.

Key Watch Items

1.  
24 September long-end buyback: The first of six remaining operations through October; whether the Treasury confirms the \$6 billion size.
2.  
4 November quarterly refunding statement: Published the day after the midterms.
- 3.

Yen and Japanese flows: Whether another intervention follows, and any shift in GPIF or other institutional allocations.

4.

East-West pipeline repair timeline: US officials talk of days; Saudi officials are more cautious.

What clients are asking

Do Prime Minister Takaichi Sanae and the BOJ understand that the US focus is driven by US yields rather than concern for Japan? Weller said Japan understands the US has its own reasons; the notable point is that after decades of opposing currency preferences, both sides now want a stronger yen, Japan for affordability and the US to help stabilize bond yields.

Does more short-term issuance make the US vulnerable to higher-for-longer rates, and what could turn this into a disorderly sell-off? Guglielmi said a shift to bills would save only about 0.2% of GDP while pushing duration to historic lows, and he sees no sign of a disorderly sell-off: liquidity remains high and real yields are not at worrying levels. Weller added that stocks would suffer most if yields rise as growth expectations fall.

How much of the turmoil is Trump-specific versus a structural shift in how investors view US assets? Guglielmi said part of the repricing traces to the fiscal expansion under both Trump administrations, but the same moves are visible in European and Japanese yields. Weller said foreign investors continue to buy US assets, so Trump has turbocharged global forces rather than created a US-specific effect.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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